

Sir Syed University of Engineering & Technology
Department of Computer Science & Information Technology



HS-411 - Entrepreneurship
Lecture No. 1

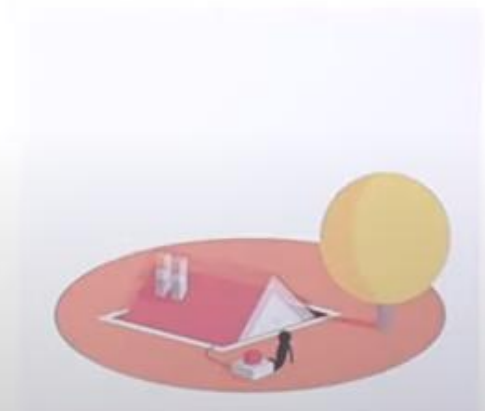
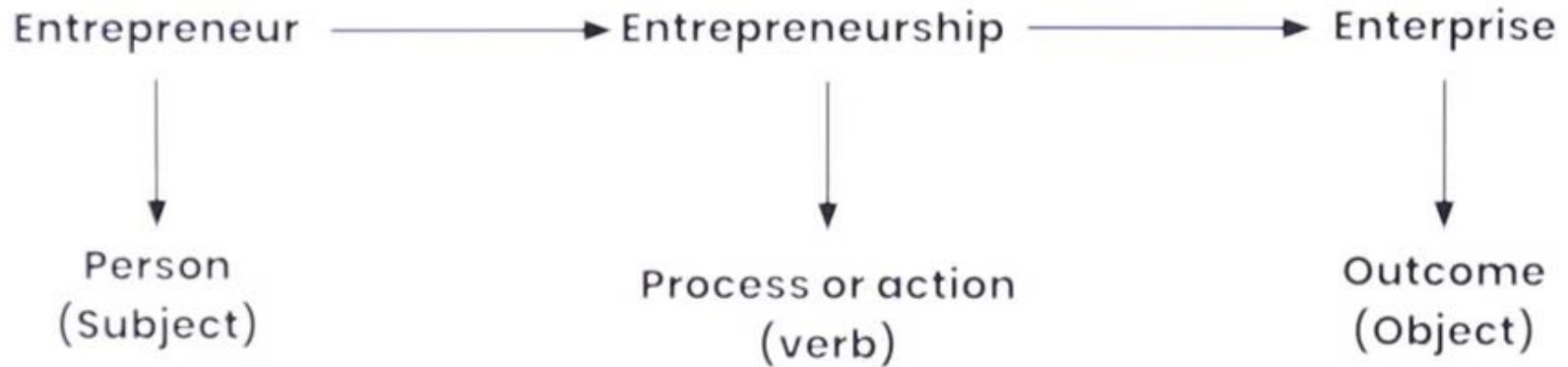
Entrepreneurship:
Concepts and Core Functions

Prepared by: Dr. Engr. M. Nadeem

List of Topic to be Discuss in this lecture

- Concept of Entrepreneur
 - Who is an Entrepreneur
 - What is Entrepreneurship?
 - What is an Enterprise?
- Difference between Businessman and Entrepreneur
- Difference between Entrepreneur and Intrapreneur
- Functions of an Entrepreneur
 - Entrepreneurial Functions
 - Promotional Functions
 - Managerial Functions
 - Commercial Functions

Concept of Entrepreneur



Who is an Entrepreneur

- ❑ An **entrepreneur** is **Person** who takes the initiative to create a new business venture. They are usually risk-takers who are willing to take chances and put in the hard work to make their vision a reality.
- ❑ They typically start their businesses by identifying a gap in the market or a need that is not being met. They develop a business plan and use it to raise funds to start their business.
- ❑ They may also invest their own money or time to get the business up and running. Once the business is established, the entrepreneur is responsible for managing all aspects of the company. They create products or services that meet the needs of their customers, manage their employees, handle finances, and make important decisions about the direction of the company.

What is Entrepreneurship?

- ❑ **Entrepreneurship** refers to the process of creating and managing a new business venture to achieve financial success and make a positive impact on society.
- ❑ It involves identifying opportunities in the market, developing a solid business plan, raising capital, creating products or services, managing employees, and overseeing the business's day-to-day operations.
- ❑ This requires a unique blend of skills and qualities, such as innovation, risk-taking, creativity, and resilience. Successful entrepreneurs are known for their ability to adapt to changes in the market, take calculated risks, and persevere through challenges and setbacks.

What is an Enterprise?

An entrepreneur is a person who starts an enterprise. The process of creation is called entrepreneurship. The entrepreneur is the actor and entrepreneurship is the act. The outcome of the actor and the act, is called the enterprise.

An enterprise is the business organization that is formed and which provides goods and services, creates jobs, contributes to national income, exports and contributes to the overall economic development.

Difference between Businessman and Entrepreneur

Basis	Businessman	Entrepreneur
Meaning	A businessman is an individual who establishes a business with an old idea.	An entrepreneur is an individual having a new and exclusive idea to establish something new.
Motive	A businessman's motive is to earn profits.	An entrepreneur's motive is to bring change to the world.
Nature	Businessmen are calculative in nature.	Entrepreneurs are innovative in nature.
Risk Factor	Businessmen do not want to take a risk or take low risk.	Entrepreneurs want to take more risks.
Goals	Businessmen focus on short-term profits.	Entrepreneurs focus on long-term profits.
Competition	Businessmen face high competition as there are already many other people doing the same business.	Entrepreneurs face low competition for the business since they enter a new market.
Position	Businessmen are market players.	Entrepreneurs are market creators.
Approach to Operate	Businessmen operate activities by using conventional methods.	Entrepreneurs operate activities using innovative methods.

Difference between Entrepreneur and Intrapreneur

Basis	Entrepreneur	Intrapreneur
Meaning	An entrepreneur is an individual having a new and exclusive idea to establish something new.	Intrapreneur is an individual having entrepreneurial skills who works at a previously established company.
Motive	An entrepreneur's motive is to bring change to the world.	An intrapreneur's motive is to grow the business and make it better.
Nature	Entrepreneurs are innovative in nature.	Intrapreneurs are innovative in nature but less than entrepreneurs.
Risk Factor	Entrepreneurs are willing to take risks.	Intrapreneurs are willing to take risks but less than entrepreneurs.
Goals	Entrepreneurs focus on long-term profits.	Intrapreneur's goals are to get appraisals, appreciation, and promotions.
Competition	Entrepreneurs face low competition for their business.	Intrapreneur faces high competition in the market.
Position	Entrepreneurs are founders of a company.	Intrapreneurs are employees of a company.
Approach to Operate	Entrepreneurs operate activities using innovative methods.	Intrapreneurs use entrepreneurial skills.

Functions of Entrepreneur

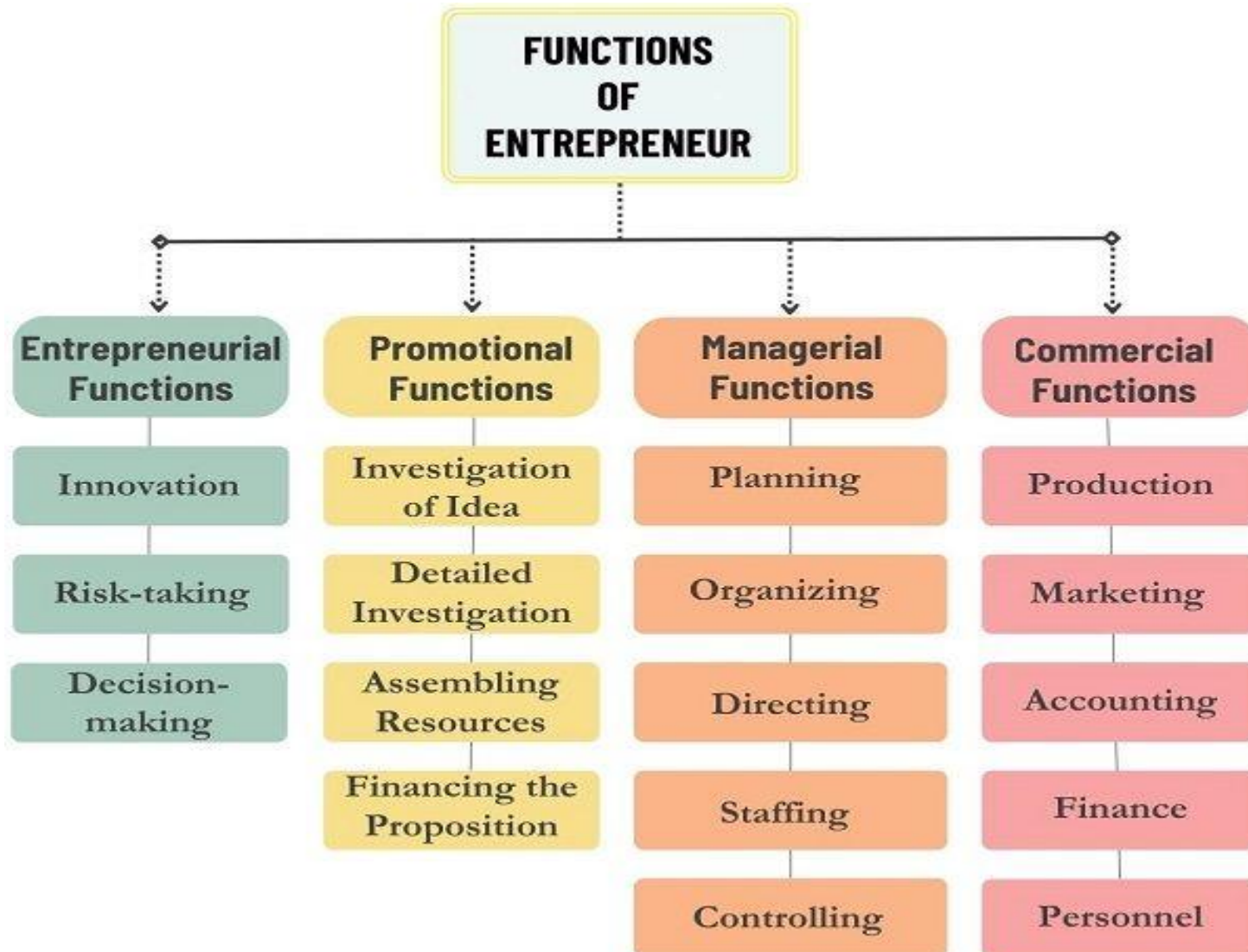
Entrepreneur performs all the essential function from establishing to developing and managing the enterprise. He seeks opportunities, organizes resources and coordinates the factors of production.



Functions of an Entrepreneur

Functions of Entrepreneur

The responsibility of an entrepreneur spans the entire organization. To become a successful business owner, he must perform his functions effectively.



Entrepreneurial Functions

1. Innovation: An entrepreneur constantly innovates new and existing products. They continuously update their organization by upgrading technology and trends. It includes activities like:

- Introducing new production methods.
- Finding new sources of raw materials.
- Upgrading the distribution system.
- Exploring new products and markets.

Example: E-bikes and E-cars are great examples of innovation in the transportation sector.

Entrepreneurial Functions

2. Risk-taking: Risk is choosing one among various alternatives, the result of which is unpredictable. Risk bearing is the pre-requisite function of an entrepreneur. However, he tries to mitigate the risk to become successful. This is because they can only earn huge profits by bearing greater risk.

Example: Drew Houston, who owns Dropbox, took a massive risk by not selling his business to Apple. However, things turned out in his favour, and Dropbox became a billionaire company.

Entrepreneurial Functions

3. Decision-making: Another function of an entrepreneur is taking decisions for the organization. The major ones include:

- Formulating organizational aims and objectives.
- Make strategies to make the organization profitable.
- Optimum distribution of work across enterprises.
- Arranging and managing the finance resources.
- Crucial decisions about the production to distribution of products.

Example: Decisions regarding Mergers, Acquisitions, Expansion and Contraction of the business.

Promotional Functions

1. Investigation of an Idea: An entrepreneur investigates the market needs and wants and then discovers a unique business idea. He not only finds one such idea but a number of ideas.

Example: Ola and Uber are amazing examples of this entrepreneurial function.

2. Detailed Investigation: After finding a bunch of business ideas, entrepreneurs critically analyze each one of them. Also, they forecast the business idea's future potential and growth possibilities. On completing the detailed investigation, he proceeds with the most suitable one.

Example: Before launching any product, the board conduct a detailed market survey.

Promotional Functions

3. Assembling Resources: Next function is to assemble the required resources to implement the selected idea. Entrepreneur arranges everything from facility location to installation of machinery and manpower.

Example: Recruitment and Material sourcing are prevalent examples of this function.

4. Financing the proposition: An entrepreneur ensures short- and long-term finance sufficiency. He defines the capital structure of the organization. Also, it identifies the sources from where the funds are to be raised and utilized.

Example: The decision of the entrepreneur to raise funds by diluting ownership (Shares) or borrowing funds (Debentures).

Managerial Functions

1. Planning: On the managerial front, the entrepreneur sets the organizational goals. And to accomplish these goals, they formulate short and long-term plans.

Example: Recently, Reliance separated its financial segment. Ambani did so to achieve the aim of becoming India's largest NBFC.

2. Organizing: The next function is the organization of resources to implement the formulated plan. It includes all the resources like Manpower, Funds and Physical Facilities. It effectively coordinates all the factors of production.

Example: NIKE has a unique organizational structure. It operates in a flat organizational structure. The departments have the liberty to work independently while maintaining quality and consistency.

Managerial Functions

3. Directing: An entrepreneur is a leader who leads their enterprise towards success. He directs his team and guides them to achieve the preset organizational goals. Also, he communicates his vision, mission and long-term goals with his team. Besides, he allocates the duties and responsibilities with a clearly defined reporting relationship.

Example: Assigning roles and responsibilities considering the employee's skills.

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4. Staffing: Next managerial function is Staffing. Besides recruitment, the entrepreneurs perform the following activities:

Manpower Planning

Recruitment

Selection

Training

Promotion

Transfer

Rewards and Appraisal

Example: Layoffs in the corporate world are making headlines lately. It is a part of human resource planning in enterprises.

Managerial Functions

5. Controlling: Here, entrepreneurs practice control over the organization. He ensures that the implementation of plans is as per the plan or not. In case of deviations, the entrepreneur identifies and fixes them. It involves activities like:

- Establishing Standards
- Measuring Performance
- Comparing Performance
- Finding Variations
- Taking Corrective Actions

Example: Comparing the quantity produced with the targets set in the production plan.

Commercial Functions

1. Production: Entrepreneurs carry out production to produce goods. For this, they make use of the factors of production. The type and size of the business will determine its scale.

Example: Entrepreneurs operating on a small-scale offering handcraft produce products on their own. Whereas, similar types of products are manufactured in the plants at a large scale.

2. Marketing: Here, the entrepreneur tries to build a unique image of his products. He uses various tools and strategies to differentiate the products in the market.

Example: Apple has positioned itself as a range of premium phones and accessories in the electronics market.

Commercial Functions

3. Personnel: Yet another crucial function of an entrepreneur is managing the vital resource in the organization, i.e., Human Resources. It involves activities like:

- Giving suitable work conditions.
- Ensure the employee's job satisfaction.
- Giving justified monetary compensation.

Example: Entrepreneurs conduct Employee Development Programs for the betterment of employees.

4. Accounting: Entrepreneurs are keen to know their financial positions while conducting a business. For this purpose, they maintain accounts of all the transactions.

Example: The financial statements prepared at the year's end reflect the current financial position.

Commercial Functions

5. Finance: It is the blood of an enterprise. Thus, raising and arranging finance becomes one of the important functions of an entrepreneur. It involves the following activities:

- Designing the capital structure.
- Arranging the long and short-term finance.
- Determining the sources of finance.

Example: Tracking the performance by calculating various ratios like PR Ratio, Operating Efficiency Ratio etc.